CHAPTER 2

FORMS OF BUSINESS ORGANISATIONS

CHAPTER ESSENCE AT A GLANCE:
Compare structural characteristics, legal liabilities, formation requirements, and operational suitability across Sole Proprietorship, Joint Hindu Family Business, Partnership, Cooperative Societies, and Joint Stock Company.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Sole Proprietorship Autonomy:** Owned, managed, and controlled by a single individual who bears all risks and receives all profits, characterized by unlimited personal liability and lack of legal separation.

• **Joint Hindu Family Governance:** Governed by Hindu Law (Mitakshara and Dayabhaga systems); Karta possesses unlimited liability and executive management powers, while coparceners have limited liability up to their undivided share.

• **Cooperative Society Principles:** Voluntary association of persons driven by service motive under the motto 'Each for all and all for each', functioning under democratic control with one-member-one-vote irrespective of capital.

• **Joint Stock Company Separate Personality:** An artificial legal person created by law, possessing perpetual succession, common seal, limited liability of shareholders, and separation of ownership from professional management.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Organisational Continuum} = \text{Sole Trader} \rightarrow \text{Partnership} \rightarrow \text{Cooperative} \rightarrow \text{Joint Stock Company}$$

Evolutionary Scale of Business Ownership

$$\text{Cooperative Voting Power} = 1 \text{ Member} \equiv 1 \text{ Vote} \quad [\text{Independent of Capital Contributed}]$$

Democratic Cooperative Equality Principle

$$\text{Corporate Perpetual Succession} \iff \text{Members May Come and Go} \rightarrow \text{Company Lives Uninterrupted}$$

Corporate Legal Immortality Axiom

$$\text{Shareholder Liability Ceiling} = \text{Unpaid Nominal Face Value of Shares Subscribed}$$

Corporate Limited Liability Legal Boundary

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** In a partnership firm, liability of all partners is unlimited, joint, and several; personal assets can be attached to satisfy firm debts.

• **Alert:** Registration of a partnership firm is optional under the Indian Partnership Act 1932, but an unregistered firm suffers serious legal disabilities like inability to file suits against third parties.

• **Alert:** In a cooperative society, voting rights are strictly based on 'one member one vote', never on the number of shares held.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Define Sole Proprietorship. State two major limitations of this form of organisation. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A form of business organisation owned, managed, and controlled by a single individual who is the sole recipient of all profits and bearer of all risks. **[1 Mark]**

• **Limitations:** (1) Unlimited personal liability of the owner, (2) Limited managerial skills and financial resources. **[1 Mark]**

2. What is meant by the concept of Perpetual Succession in a Joint Stock Company? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Concept:** A company is created by law and can only be dissolved by legal process; its life is not affected by death, insolvency, or insanity of its members. **[1 Mark]**

• **Key Implication:** Members may come and go, but the company continues to exist indefinitely into the future. **[1 Mark]**

3. Explain the role and liability of Karta in a Joint Hindu Family Business compared to Coparceners. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Executive Management:** The Karta (eldest male or senior member) has exclusive authority to manage the joint family business and contract debts. **[1 Mark]**

• **Unlimited Liability of Karta:** Karta's liability is unlimited, meaning his personal property can be seized to discharge business debts. **[1 Mark]**

• **Limited Liability of Coparceners:** Other family members (coparceners) have liability limited strictly to their undivided share in the joint family property. **[1 Mark]**

4. State any three legal consequences or disabilities arising from the Non-Registration of a Partnership Firm. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Inability to Sue Third Parties:** An unregistered firm cannot file a lawsuit against any third party to enforce rights arising from a commercial contract. **[1 Mark]**

• **Inability to Sue Co-partners:** A partner of an unregistered firm cannot bring legal action against fellow partners or the firm. **[1 Mark]**

• **Inability to Claim Set-off:** The unregistered firm cannot claim a set-off in any legal proceedings exceeding Rs 100 instituted by creditors. **[1 Mark]**

5. Distinguish between a Private Limited Company and a Public Limited Company across three parameters. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Minimum and Maximum Members:** Private company requires minimum 2 and maximum 200 members; Public company requires minimum 7 members with no upper limit. **[1 Mark]**

• **Share Transferability:** Private company restricts transfer of shares via Articles; Public company shares are freely transferable on stock exchanges. **[1 Mark]**

• **Public Subscription:** Private company cannot invite public subscription for shares or debentures; Public company can freely invite public capital. **[1 Mark]**

6. Explain the democratic management principle of a Cooperative Society under the rule 'One Member, One Vote'. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Democratic Principle:** The governance of a cooperative society is vested in an elected managing committee chosen democratically by members. **[1 Mark]**

• **Equal Voting Power:** Each registered member possesses strictly one vote irrespective of the number of capital shares purchased or subscribed. **[1 Mark]**

• **Prevention of Capitalist Domination:** Ensures that wealthy members cannot hijack organizational policy, keeping welfare of all members as primary focus. **[1 Mark]**

7. Evaluate the factors that determine the choice of an appropriate form of business organisation: Cost of formation, Liability of owners, Continuity, and Managerial ability. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Cost and Ease of Formation:** Sole proprietorship is the cheapest and easiest to form with minimal legal formalities; Joint stock company involves lengthy, expensive statutory incorporation. **[1 Mark]**

• **Liability of Owners:** Sole proprietorship and general partnership impose dangerous unlimited liability; Company and cooperative society offer limited liability safeguarding personal wealth. **[1 Mark]**

• **Continuity of Enterprise:** Sole proprietorship and partnership suffer high instability upon death or insolvency; Companies provide perpetual succession. **[1 Mark]**

• **Scale and Managerial Expertise:** Small localized trade thrives as sole trader; large capital operations requiring professional departments demand corporate company format. **[1 Mark]**